

**TABLE 6.15** Sector results 2005

|       | Currencies | Agriculture | Non-Agriculture | Equities | Rates | All sectors |
|-------|------------|-------------|-----------------|----------|-------|-------------|
| Long  | -1.9       | 2.9         | 5.9             | 7.2      | -1.9  | 12.1        |
| Short | -0.3       | -4.4        | -3.4            | -1.4     | 5.4   | -4.1        |
| Total | -2.2       | -1.6        | 2.6             | 5.1      | 3.0   | 6.9         |

**TABLE 6.16** Results 2005

|                 | US\$       | Percentage |
|-----------------|------------|------------|
| Starting NAV    | 15,877,218 | 158.77     |
| Trading result  | 1,093,525  | 6.90       |
| Interest income | 377,066    | 2.40       |
| Management fee  | 250,584    | 1.60       |
| Performance fee | 183,001    | 1.20       |
| Net result      | 1,037,006  | 6.50       |
| Ending NAV      | 16,914,224 | 169.10     |

equity markets and we saw deep drawdowns. A year like this will shake the confidence of your investors and it certainly won't make it easy to raise additional investments for your little trading business. We really dodged the bullet here, with that end of year rally that at least put us back in black for the year again (Tables 6.15 and 6.16).

After this nightmare of a year, you can expect quite a few worried or even angry investors. They probably won't get much happier about the fact that you still make a quarter of a million in management fees and US\$180,000 in performance fee. The interest on excess capital was a nice addition this year, and as it happens, it pays for nearly all our management and performance fees, letting us close the year at a net profit to investors of 6.5%.

## ■ 2006

As you've seen to this point, making money can be a very painful experience. We had four profitable years in a row, but it probably won't really feel that way. The reason for this year-by-year chapter should now hopefully become quite clear. I'm trying to prepare you for the harsh realities of money management, and show you just how difficult it can be to trade even a profitable trading model. You've made good money to this point, and your